IN THE NATIONAL COMPANY LAW TRIBUNAL

AHMEDABAD BENCH

COURT-II

CA (CAA) 68/AHM/2022

[Sections 230-232 and read with other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016]

In the matter of Scheme of Merger

OF

M/s Dhanesh Enterprise Pvt. Ltd.
(Applicant Company No. 1/Transferor Company)

WITH

M/s Jenil Enterprise Pvt. Ltd.
(Applicant Company No. 2/Transferee Company)

And
Their Respective Shareholders and Creditors.

Order Pronounced on 17.01.2023

CORAM:

DR. DEEPTI MUKESH
HON'BLE MEMBER (JUDICIAL)
AJAI DAS MEHROTRA
HON'BLE MEMBER (TECHNICAL)

MEMO OF PARTIES

M/s Dhanesh Enterprise Pvt. Ltd.,
(CIN: U45201GJ2003PTC042773)
Registered office at;
Survey No. 192/1, 192/2, 193, 194,
Udhna Navsari Road, Bhestan,
Gujarat-395023.

... Applicant Company No. 1/ Transferor Company

WITH

M/s Jenil Enterprise Pvt. Ltd.,
(CIN: U45203GJ2014PTC081152)
Registered office at;
Survey No. 91, Opp. Navin Fluorine,
Udhna Navsari Road, Bhestan,
Gujarat-395023.

... Applicant Company No. 2 / Transferee Company

For the Applicant: Sr. Advocate Mr. Navin Pahwa with Mr. Ravi Pahwa, Advocate for M/s. Thakkar and Pahwa Advocates.

ORDER

1. The present joint Application is filed under Section 230-232 with other applicable provisions of the Companies Act, 2013 (hereinafter referred to as "**the Act**") read with the Companies (Compromise, Arrangement, and Amalgamations) Rules, 2016. The proposed Scheme of Amalgamation is between M/s Dhanesh Enterprise Pvt. Ltd. (hereinafter referred to as the "Transferor Company") with M/s Jenil Enterprise Pvt. Ltd. (hereinafter referred to as the "Transferee Company") with effect from the Appointed Date on the agreed terms and conditions as set out in

the Scheme annexed in accordance with Sections 230 to 232 of the Companies Act, 2013.

2. It is submitted that the registered offices of both the applicant companies are situated within the territorial jurisdiction of the Registrar of Companies, Ahmedabad, Gujarat, which are falling under the jurisdiction of this Tribunal.

3. It is submitted that the Transferor Company having CIN U45201GJ2003PTC042773 was incorporated on 21.08.2003 in the name of Dhanesh Enterprise Private Limited under the provisions of the Companies Act, 1956 in the State of Gujarat. Certificate of RoC, Ahmedabad is placed on record. The Registered office of the Transferor Company is situated at Survey No.192/1,192/2,193, 194, Udhna NavsariRoad, Bhestan, Gujarat, India – 395023. The Authorised Share Capital of the Transferor Company is Rs. 1,00,00,000/- which is divided into 10,00,000 Equity shares of Rs. 10/- each and Issued, Subscribed and Paid-up Share Capital is Rs. 86,75,000/- which is divided into 8,67,500/- equity shares of Rs. 10/- each.

4. It is submitted that the Transferee Company having CIN No. U45203GJ2014PTC081152 was incorporated on 31.10.2014 in the name of Jenil Enterprise Private Limited under the provisions of the Companies Act, 2013 in the State of Gujarat. Certificate of RoC, Ahmedabad is placed on record. The Registered office of the Transferee Company is situated at Survey No.91, Opp. NavinFluorine, Udhna Navsari Road,Bhestan, Gujarat, India - 395023. The Authorised Share Capital of the Transferee Company is Rs. 5,00,00,000/- which is divided into 50,00,000 equity shares of Rs. 10/- each. The Issued, Subscribed and Paid-up

Share Capital of the Company is Rs. 4,99,00,000/- divided into 49,90,000 equity shares of Rs. 10/- each.

5. The Applicant Companies are empowered by their respective Memoranda and Articles of Association to enter into Scheme of Amalgamation. Copy of Memoranda and Articles of Association of both the Applicant Companies are placed on record. The copies of Audited Financial Statements of both the Applicant Companies as at 31.03.2022 and Provisional Balance Sheets as at 31.10.2022 respectively are also placed on record.

6. The Board of Directors of both the Applicant Companies have approved the Scheme at their respective Board Meetings held on 15.11.2022 and minutes of meetings of both the Companies are placed on record. The Appointed date for the Scheme is 1st April 2022.

7. Both the Applicant Companies have placed on record their Valuation Reports given by Registered Valuer, Mr. Bhavin Hinger (IBBI/RV/06/2019/12568).

8. Both the Applicant Companies have filed the certificates from Statutory Auditors confirming that the proposed Accounting Treatment is in conformity with the applicable Accounting Standards under Section 133 of the Companies Act, 2013 r/w. Rule 7 of Companies (Accounts) Rules, 2014.

9. It is submitted that no investigation or proceeding under the Companies Act, 1956 or Companies Act, 2013 are instituted or are pending against the Applicant Companies.

10. It is submitted that there are no foreign shareholders in both the Applicant Companies and hence, no notice is required to be sent to Reserve Bank of India. It is further stated that the Competition Commission of India is also not required to be served as regulator for the adjudication of present scheme of amalgamation.

11. With respect to the Transferor Company, it is stated that:-
    a. There are 9 equity shareholders and certificate from Chartered Accountant certifying list of shareholders is annexed. All the equity shareholders have given their consents by way of affidavits for the proposed Scheme, which are annexed with the application. Hence, the Company is seeking dispensation for holding the meeting of Equity Shareholders.
    b. There are no Secured Creditors. Certificate from Chartered Accountant certifying that there are no secured creditors is annexed with the application. Requirement of convening meeting of Secured Creditors is obviated.
    c. There are no Unsecured Creditors. Certificate from Chartered Accountant certifying that there are no unsecured creditors is annexed with the application. Requirement of convening meeting of Unsecured Creditors is obviated.

12. With respect to the Transferee Company, it is stated that:-
    a. There are 8 equity shareholders and certificate from Chartered Accountant certifying list of shareholders is annexed. All the equity shareholders have given their consents by way of affidavits for the proposed Scheme, which are annexed with the application. Hence, the Company is

seeking dispensation for holding the meeting of Equity Shareholders.

b. There are no Secured Creditors. Certificate from Chartered Accountant certifying that there are no secured creditors is annexed with the application. Requirement of convening meeting of Secured Creditors is obviated.

c. There are 29 Unsecured Creditors. Certificate from Chartered Accountant certifying the list of Unsecured Creditors is annexed with the application. The meeting of Unsecured Creditors is requested.

13. Taking into consideration the submissions and the documents filed therewith, we issue the following directions with respect to holding and convening or dispensing the meeting of Equity Shareholders, Secured Creditors and/or Unsecured Creditors as well as issue of notices:-

i. In relation to the Transferor Company:

a. With respect to Equity Shareholders:

Convening of the meeting of Equity Shareholders of the Company is hereby dispensed with, in view of 100% consent affidavits received from shareholders.

b. With respect to Secured Creditors:

There are no secured creditors in the Company. Hence, convening of the meeting of secured creditors is obviated.

c. With respect to Unsecured Creditors:

There are no Unsecured creditors in the Company. Hence, convening of the meeting of Unsecured Creditors is obviated.

ii. In relation to the Transferee Company:

a. With respect to Equity Shareholders:

Convening of the meeting of Equity Shareholders of the Company is hereby dispensed with, in view of 100% consent affidavits received from shareholders.

b. With respect to Secured Creditors:

There are no secured creditors in the Company. Hence, convening of the meeting of secured creditors is obviated.

c. With respect to Unsecured Creditors:

The Transferee Company is directed to convene and hold the meeting of Unsecured Creditors on 25.02.2023 at 11:00 AM at the Registered Office of Company viz. Survey No.91, Opp. Navin Fluorine, Udhna Navsari Road,Bhestan, Gujarat, India – 395023 for the purpose of considering and if thought fit, approving, with or without modification, the Scheme of Amalgamation.

14. At least one month before the date of the meeting, a notice in Form No. CAA 2 convening the said meeting indicating the day, the date, the time as aforesaid, together with a copy of the Scheme of Arrangement, copy of the Explanatory Statement required to be sent under Section 102 of the Act, read with Sections 230 and 232 of the Act and Rule 6 of the Companies (CAA) Rules, 2016, as well as other requisite documents, shall be sent to each of the Unsecured Creditor of the Applicant Transferee COmpany; at their respective available addresses either through email or courier or speed post or registered post. The notices shall be sent to the Unsecured Creditors of the Applicant Transferee Company in reference to the list of the creditors appearing on the

record of the Transferee Company as of 31st October, 2022 and the voting percentage of such creditors as per list is to be decided after considering the amount of debt as on the date of voting, which is to be ensured by the Chairperson.

15. At least one month before the date of meeting, an advertisement about convening the aforesaid meeting of Unsecured Creditors of the Transferee Company; indicating the day, the date, the time and the details of modalities for the meeting as aforesaid, shall be published in "Indian Express", English daily and in "Sandesh" Gujarati Daily, having circulation in Surat. The publication shall also indicate that the statement required to be furnished pursuant to Section 102 of the Act read with Sections 230 to 232 of the Act can be obtained free of charge from the registered office of the Company or at the office of its advocates viz. Thakkar and Pahwa, Advocates, 71, New York Tower-A, Opp. Muktidham Derasar, Thaltej, Ahmedabad-380054.

16. Mr. Chetan M Gandhi, Advocate, and in his absence Ms. Payal Yogeshkumar Gandhi, Advocate shall be the Chairperson of the aforesaid meeting of the unsecured creditors of the Transferee Company to be held on 25.02.2023 at 11:00 AM and in respect of any adjournment thereof.

17. Mr. Seema Kapadia, Company Secretary shall act as the Scrutinizer for the aforesaid meetings of the Transferor Company.

18. The chairperson appointed for the aforesaid meetings shall issue the advertisements and send out the notice of the meeting referred to above.

19. The chairperson shall file the report with an affidavit not less than 7(seven) days before the date fixed for the holding of the meeting and report to this Tribunal that the directions regarding issuance of notices and advertisement of the meeting have been duly complied with as per Rule 12 of the Companies (CAA) Rules, 2016.

20. It is further ordered that the Chairperson of the company shall report to this Tribunal the result of the meeting in Form No. CAA.4, verified by his affidavit, as per Rule 14 of the Companies (CAA) Rules, 2016 in from No. CAA.4 within seven days after the conclusion of the meeting.

21. The quorum for the meeting of Unsecured Creditors of the Company shall be 8.

22. It is however clarified that in view of para A (x) of the MCA Circular No. 14/2020 dated 8th April 2020, that in case of meeting through video conference or other audio visual means, the voting through Proxy shall not be permitted. However, voting through Authorized Representative is permitted.

23. The number and value of Creditors of the Company shall be in accordance with the records or registers as on 31.10.2022 of the Company and where the entries in the records or registers are disputed as on 31.10.2022, the Chairperson of the meeting shall determine the value, as the case may be, for the purposes of the meeting.

24. In compliance of sub-section (5) of Section 230 and Rule 8 of the Companies (CAA) Rules, 2016, a notice of meeting under sub-section (3) of Section 230 read with Rule 6 of the Companies

(CAA) Rules, 2016 in Form No. CAA.3 along with a copy of the Scheme of Amalgamation, explanatory statement and the disclosures mentioned under Rule 6 shall be sent to the following Authorities namely, (i) to the Central Government through the Regional Director, North Western Region, (ii) the Registrar of Companies, Gujarat, (iii) to the Income Tax Department along with full details of assessing officer and PAN numbers of all the applicant companies with the copy also to the Chief Commissioner of Income Tax office, (iv) the Official Liquidator and to such other Sectoral Regulatory Authorities, who may govern the working of the respective companies involved in the Scheme, so that timely and proper reply may be filed. The said notice (s) shall be sent forthwith after notice is sent to the Unsecured Creditors of Applicant Company 2 by registered post or by speed post or by courier or by Email or by hand delivery at the office of the authority as required by sub-rule (2) of Rule 8 of the Companies (CAA) Rules, 2016. The aforesaid authorities, who desire to make any representation under sub-section (5) of Section 230 shall send the same to the Tribunal within a period of 30 days from the date of receipt of such notice, failing which it shall be deemed that they have no representation to make on the proposed Scheme of Amalgamation.

25. The Application is allowed and disposed of in terms of the above directions.

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AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

DR. DEEPTI MUKESH
MEMBER (JUDICIAL)

Abhishek Steno/Abhishek LRA